



Team DICElens

Valmo Case Study



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MEESHO'S VALUE COMMERCE

Meesho does not compete on selection or speed. It competes on landed price to a price-sensitive Tier-2/3 buyer.

WHAT MAKES IT POSSIBLE

 **Zero commission on sellers**
No take-rate on the sale itself

 **Low-cost logistics**
Essential to keep the landed price competitive

 **Monetisation around the sale**
Ads + logistics/shipping + other services

The model only works when logistics stays lean

MEESHO'S LOGISTICS

 **3PL - Third party logistics**
External logistics partners



49.9%

of shipped orders (FY26)

1,331M

shipped orders (FY26)

5

end-to-end partners

~ ₹48-51

cost per order

 **VALMO - Meesho's in-house logistics platform**
Valmo connects Meesho to local logistics entrepreneurs instead of owning the delivery fleet.

SHIPMENT & PARTNER SCALE

50.1%

of shipped orders (FY26)

1,337M

shipped orders (FY26)

17,999

Local partners running hubs (FY26)

1,19,860

Riders employed by them (FY26)

NETWORK FOOTPRINT

100+

Cities

180+

Sorting centers

2700+

Delivery hubs

~15,000

Pincodes

RTO ~ 17 / 100 Valmo orders; ~16 are COD

RTO (Return to Origin) occurs when a shipped order fails delivery & is returned to the seller. It increases logistics costs & reduces profitability.

Unit economics per RTO parcel

 ₹50
Forward leg (already spent)

 ₹120
Return leg (still avoidable)

= ₹120
saved per return prevented

Impact at scale (Valmo, FY26)

 213.9M
COD RTO parcels

x

₹120
per RTO

=

₹2,567 Cr
COD-driven RTO cost

~ 94%

of Total RTO cost

 13.4M
Prepaid RTO parcels

x

₹120
per RTO

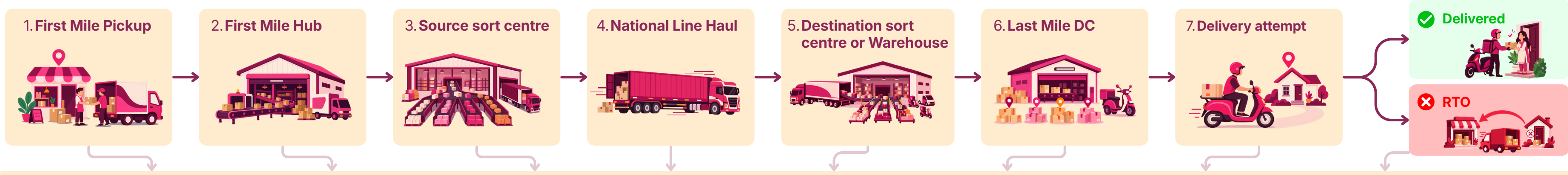
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₹160 Cr
Prepaid RTO cost

~ 6%

of Total RTO cost

PARCELS JOURNEY



THE RTO LIFECYCLE - A MECE VIEW

1. NEVER DELIVERABLE
Order precision & fulfilment



H1 - Risky order types
RTO risk is concentrated in specific order types and customer cohorts.

H2 - Pre-dispatch failure
Risky orders can be identified before they are dispatched.

2. NETWORK FAILURE
Sort, transit & handover



H3 - Rejection due to delay
Delays reduce customer willingness to accept the order.

H4 - Network failure
Parcels are delayed, misrouted or mishandled in transit.

3. ATTEMPT FAILURE
Last-mile execution



H5 - No genuine attempt
The delivery attempt may not actually reach the customer.

H6 - Rider area knowledge
Limited local route familiarity can reduce delivery success.

4. POST-FAILURE
After Failure



H9 - After first failure
The response after the first failed attempt determines whether the parcel becomes RTO.

H10 - Return trip cost
Failed deliveries create additional cost through the reverse journey.

5. BUYER NON-RECEIPT
Customer intent & availability



H7 - Doorstep refusal
Customers refuse the parcel when the rider reaches the doorstep.

H8 - Monthly cash cycle
Lack of cash at delivery can cause COD rejection.

WHAT WE HEARD ON THE GROUND

3

Valmo hubs

2

City tiers

1775

Parcels / day

48

Riders

35

Buyers surveyed

Velachery

TIER 1 | IN-PERSON

~900

23

9%

parcels/day

Riders

RTO

"Fake attempted tries by rider happen. So we keep a second verification check."

Chrompet

TIER 1 | IN-PERSON

~475

12-13

10%

parcels/day

Riders

RTO

"Refusals are spread across the month, not concentrated around salary dates."

Thanjavur

TIER 2 | PHONE

~400

12-13

9%

parcels/day

Riders

RTO

"No payment friction. Delays and missed attempts are common."

Hub operators also mentioned "fake attempted tries by rider" as a real issue

BUYER CHECK (N = 35)

30

control (no issues)

5

faced a failed delivery

4 / 5

weren't home / couldn't be reached

1 / 5

said app marked an attempt they believe never happened

KEY INSIGHTS

Using field evidence, failures include no cash, delays, address issues, missed attempts.

WHAT BUYERS REPORT ONLINE

3000

Meesho app reviews

241

Valmo hub reviews

23

X & reddit posts

10

Discussion threads

Academic and industry literature, used as a sanity check

Valmo hub reviews (241):

Attempt never happened

Refused at door

Delay / damage

Return journey

Address issue

35.3

21.6

16.2

12.9

4.6

Low-rated app reviews:

"Marked delivered but never came."

"No real attempt, rider didn't show up"

"Delivery very late, no updates."

213

3000

delivery failure reviews

40

213

dispute that anyone came

Directional only: People are more likely to review after a bad experience

Not population frequencies: They show which problems are real, not how often they occur

WHICH CAUSES MATTER MOST?

	Hypotheses (H1 - H10)	S	E	L	30D	M	V	Total	Gate
1	Risky order types	5	4	4	5	4	5	91	Partly built
	Pre-dispatch failure	4	3	1	3	3	5	63	Already built
2	Rejection due to delay	5	4	3	3	4	5	80	Open
	Lost or mis-sorted	5	4	2	2	4	5	73	Partly built
3	No Genuine attempt	5	4	5	4	3	5	88	Open
	Rider area knowledge	2	2	3	3	2	3	49	Open
4	After first failure	5	4	5	5	4	5	94	Open
	Return trip cost	2	2	2	2	5	4	50	Open
5	Doorstep refusal	5	4	4	5	3	5	89	Partly built
	Monthly cash cycle	2	1	1	5	5	2	51	Killed in field

PRIORITY SCORE (0 - 100) = $\frac{(25 \times S) + (20 \times E) + (15 \times L) + (20 \times 30D) + (10 \times M) + (10 \times V)}{5}$

S = Size (25%) | E = Evidence (20%) | 30D = 30-day testability (20%) | L = Leverage (15%)
| M = Measurement (10%) | V = Value (10%)

SIZE x 30-DAY FIXABILITY

Quick win

Biggest prize but not a 30 day bet

"The biggest problem and the most fixable problem are not the same problem"

WHAT THE EVIDENCE SHOWS

COD = largest economic exposure

94.1%

of RTO costs sit in COD orders

(16 COD RTOs vs 1 prepaid per 100 shipments)

1

2

3

4

5

Delay = major mechanism

Ranked first or second at all 3 hubs, but nobody could give a share

Misrouting = REAL but small

0.6 - 1.0%

counted at 2 hubs independently

Phantom attempts = REAL

Confirmed in fieldwork + Never logged, because hubs correct it first

Cash-cycle hypothesis = KILLED

Fieldwork did not support a day-of-month pattern

We separated "a mechanism exists" from "X% of RTO is caused by it."

POST-1ST FAILURE OUTCOME (ATTEMPT POLICY)

Highest scoring, genuinely fixable in 30 days

WHY THIS CAUSE WINS ?

Large 3 ATTEMPTS / 7 DAYS for every parcel The retry rule is flat	Proven Confirmed at both Chennai hubs no variation by order type
Open Both large and genuinely open. A rule Valmo can change today. No capex, no new build	30 day fit 1 message + 1 hold rule few rupees per order against ₹ 120 saved

APPROACH

Target far, cash, no-prior-success orders differently after the first failure

Understand why it failed

Let the buyer choose what happens next

Appendix

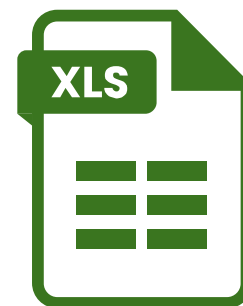
DETAILED EVIDENCE, ANALYSIS AND SUPPORTING MATERIAL

5 SHEETS

ALL CALCULATIONS



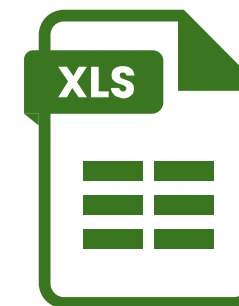
PRIMARY EVIDENCE



SECONDARY RESEARCH



EXISTING MEESHO
STACK



PRIORITIZATION
FRAMEWORK

